2020 festive season. He added that televisions, laptops and wearables also saw double-digit growth, and that the positive sentiment was reflected across channels—online as well as offline.

Q3 results should bring more cheer as "the impact of the festive season was seen only in the last week of Q2", says Devendra Pant, chief economist at India Ratings and Research (Ind-Ra). "Also, since Diwali was on October 20, the major demand push came in that month. Strong buoyancy was visible across all FMCG categories in October."

The growth in real wages has also been a contributing factor. For urban corporate wages, hikes have been around 7–12 per cent, similar to over the past 1–2 years. But because inflation has declined, real wage growth has remained positive across urban areas as well, putting more money in people's hands and thereby increasing consumption demand. This also brightens the consumption outlook for the next fiscal. Indeed, even the growth in rural agricultural wages has gone up more than 4 per cent since the fourth quarter of FY25.

SUSTAINING THE MOMENTUM

Can this momentum in demand be sustained? Economists think it's possible, but perhaps not at such a hectic pace, since this festive season was an outlier in many ways. "The IT and GST benefits will continue to show up. Monetary transmission (where the benefits of lower RBI rates are transmitted by banks to retail consumers) will continue and will increase. The full impact of the GST tweaks will come in the third quarter," says Joshi.

However, GDP will grow slower in the second half. Crisil is projecting a growth of 6.1 per cent for the second half, pegging overall FY26 GDP growth at 7 per cent. "Private investment is picking up, but there have been false starts earlier too. Some new sectors like data centres are looking up. There is a hint of positive private investment," he says. The recent labour reforms also signal the government's intent to make the environment more investor-friendly.

This means the Centre will have to keep pushing policies that will revive investment. But this, too, has its challenges. "There is a sweet spot for investment cycles being kicked off in terms of capacity utilisation," says Naushad Forbes, co-chairperson of Forbes Marshall, India's leading process and energy efficiency company. "Ideally, if you are running under 70 per cent capacity, you do not invest in more capacity. And if you are above 80 per cent, you definitely will." According to him, what triggers investment is entrepreneurs having great confidence in the future. "A combination of what is coming out of Washington drives so much of uncertainty...people tend to take a wait-and-watch approach when that happens," he adds.



"Consumption is reasonably strong at present. This year, we are seeing a story of consumption pick-up, not so much a pick-up in investment. Consumption was the last to come out of the pandemic slump"

DHARMAKIRTI JOSHI
Chief Economist, Crisil



"Investment gets triggered when entrepreneurs have great confidence in the future. With so much uncertainty on US tariffs, people tend to pursue a wait-and-watch approach"

NAUSHAD FORBES
Co-chairperson, Forbes Marshall

RURAL DEMAND PICKS UP

Pant of Ind-Ra feels rural demand can keep consumption on a steady track. "It is important to note that agri GVA (gross value added) growth—though at 3.5 per cent in Q2, its lowest of the last five quarters—has been more or less stable, which supported rural demand," he says. "This was also led by the Indian Meteorological Department data on good winter rainfall that is likely to lead to a bumper rabi harvest, which in turn led to positive sentiment about stability in Q3 and Q4 for this fiscal and even extending into Q1 of FY27." This implies eight consecutive quarters of strong agri GVA growth, which will maintain the consumption momentum for the next few quarters as well in rural areas, he adds.

Also, because of GST rationalisation, inflation will remain lower (at least till Q2FY27) than the RBI's targeted 4 per cent. All these would mean that consumption will continue to grow into the next quarters, but to help the economy grow at a faster clip than 7 per cent, the investment cycle has to kick in too. Again, much will also depend on how soon India can enter into a deal with the US on reciprocal tariffs. At the moment, there are many factors pushing down growth, just as there are several pushing it up. ■